

The Problem

Why Aboriginal and Torres Strait Islander workers leave, and what it costs when they do.

THE SITUATION

Aboriginal and Torres Strait Islander workers in this country carry something that does not appear in any job description. They are expected to educate colleagues, represent their culture, absorb racial microaggressions without reacting, manage cultural obligations alongside clinical or professional responsibilities, and do all of this without it being named, counted, or supported. This is colonial load. It is compounding. It is cumulative. And for most organisations, it is completely invisible.

The result is not disengagement. It is departure. Aboriginal and Torres Strait Islander workers leave at measurably higher rates than their non-Indigenous colleagues, not because they are less committed, but because the systems they work inside were not built for them.

For ACCHOs and other Aboriginal and Torres Strait Islander organisations, this matters more than anywhere else. These organisations employ First Nations people at twelve times the rate of non-Indigenous businesses. When their people leave, they take community trust, clinical relationships, and cultural credibility with them. That loss does not appear on any invoice.

THE LEGAL CONTEXT

Colonial load is not a cultural preference or a communication style. It is a documented psychosocial hazard.

Under Australia's harmonised Work Health and Safety legislation, employers have a positive duty to identify and manage psychosocial hazards in the workplace. This duty applies regardless of sector, size, or funding source. Awareness training alone does not satisfy it. A one-off cultural event does not satisfy it. The legal standard requires a system: something that identifies risk, responds to it, and produces a documented record that the employer acted.

Most organisations in this sector do not have that system. A Victorian WHS prosecution in 2023 resulted in a fine of approximately \$380,000 for failing to manage psychosocial risk. The legal exposure is not theoretical.

THE COST OF DOING NOTHING

Every staff member who leaves costs the organisation 75 percent of their annual salary in direct replacement costs: recruitment, onboarding, lost productivity during the gap, and the time senior staff spend absorbing additional load while the role is vacant. This is a conservative figure consistent with published Australian health sector benchmarks; actual costs typically range from 50 to 150 percent depending on role seniority.

For an ACCHO with 42 staff at an average salary of \$105,000, seven departures in a year (which is not unusual) represents a turnover cost exposure of over \$550,000. Of that, research indicates 42 percent is preventable through earlier intervention.

A single psychological injury claim adds a further \$91,000 in direct costs: lost productivity across a 37-week median absence, management time, and team productivity drag. That figure does not include legal costs, WorkCover premium impacts, or the organisational cost of the investigation process itself.

These are not hypothetical risks. They are the operational baseline for many ACCHOs right now.

EVIDENCE BASE

Finding	Source
63% of First Nations workers reported high levels of identity strain at work	<i>Diversity Council Australia, Gari Yala Report, 2020</i>
39% said they carry high or very high levels of cultural load as extra unrecognised work	<i>Diversity Council Australia, Gari Yala Report, 2020</i>
First Nations median tenure: 4.7 years, versus 6.2 years for non-Indigenous colleagues (a 24% gap in a sector actively investing in retention)	<i>Australian Public Service Workforce Data, 2024</i>
Indigenous businesses employ Aboriginal and Torres Strait Islander people at 12 times the rate of non-Indigenous businesses	<i>Cambridge ELLR, 2024</i>
42% of employee turnover is preventable through earlier managerial and organisational intervention	<i>Gallup, 2024 (updated February 2026)</i>
Average accepted psychological injury claim: over \$50,000 before legal costs	<i>Safe Work Australia, 2023</i>
Only 4 of 19 Closing the Gap targets are on track; employment and economic outcomes are among the most urgent	<i>Productivity Commission, February 2024</i>
Employer fined approximately \$380,000 for failing to manage psychosocial risk	<i>Victorian WHS prosecution, 2023</i>

WHAT THE SECTOR NEEDS

Organisations in this sector have not failed to care. They have lacked a mechanism: something recurring, structured, and built specifically for First Nations workplaces, that makes colonial load visible before it becomes a departure, and before it becomes a claim.

The tools that exist were built for someone else's workforce. Retraining staff to use them, or adapting generic wellbeing frameworks to a First Nations context, places the burden of adaptation on the organisation that is already carrying the most. It does not solve the problem. It relocates it.

Aboriginal and Torres Strait Islander organisations need a system that starts from their reality, not one that asks them to translate themselves into someone else's framework.

REVIEW NOTE: This draft has not yet incorporated Tanika's natural language. Tanika to review and correct before this document is sent to Sam or any funder.